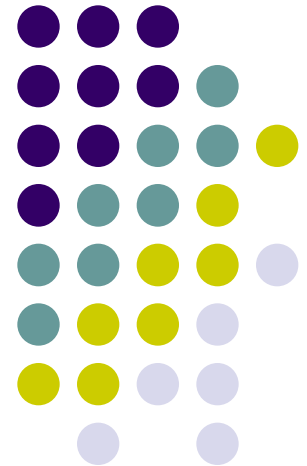


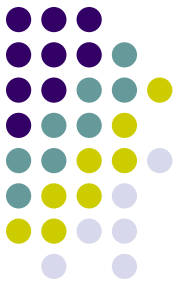
Insider Control, Group Affiliation and Earnings Management in Emerging Economies: Evidence from India

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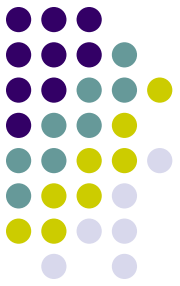


Objective



- To examine the relationship between insider control and opportunistic earnings management (OEM).
- OEM : true financial performance is distorted by managers for private gains (Klein, 2002).
- Incentives for OEM
- Focus on :
 - costs and benefits of insider control w.r.t OEM
 - effect of business group affiliation.
 - effect of ownership complexity : ‘ownership opacity’
- Testing ground: Indian group affiliated and stand alone firms : 2002-2006

Structure of Presentation



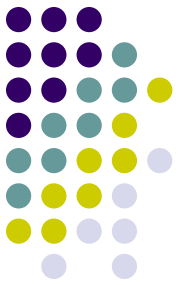
- I. Motivation
- II. Background Literature
- III. Indian Case Study
 - I. Sample and Variables
 - II. Empirical Framework
 - III. Estimation Results
 - IV. Concluding Remarks

Motivation - I



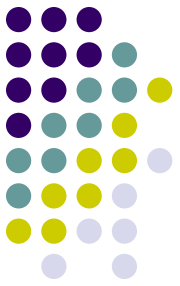
- Quality of reported accounting information: implications for firm valuation and functioning of capital markets (Kothari, 2001; Bhattacharya et al., 2003).
- Ownership structures significantly impact on the quality of financial reporting (e.g., Fan and Wong, 2001; Haw et al., 2004; Coffee, 2005).
- Onus of several high profile accounting irregularities on concentrated ownership and complex control structures (eg. Parmalat in Italy; Satyam in India). [Highlights of the Satyam Case](#)
- Relatively few studies examining relationship between ownership & accounting quality (Bhaumik and Gregoriou, 2010).

Motivation - II



- Need for such study imperative in view of
 - Governance reforms worldwide focused on improving the integrity and credibility of financial statements.
 - accounting failures have system-wide effects and access to long term low-cost external finance.
 - “Earnings opacity” higher in emerging economies (Bhattacharya et al., 2003). So is insider control.
 - not taking into account influence of insiders on quality of financial reporting may lead to “unexpected or ineffective” policy outcomes (Leuz and Wysocki, 2008).

Motivation - III



- India an ideal setting:
 - Poor quality financial reporting with high incidence of earnings management (Sarkar et al., 2008; ROSC, 2004).
 - The prevalence of concentrated ownership with the dominance of business groups characterized by pyramidal structures. [Table 1](#)
 - Expropriation of minority shareholders by controlling owners (referred to as promoters) is well documented in India.
 - CG reforms focused on quality of financial disclosures.

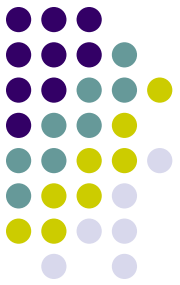
Background Literature – I :

Benefits and Costs of Insider Control



- **Benefits: Alignment Hypothesis w.r.t. OEM**
 - Concentrated equity positions & control create incentives to check OEM to protect firm value & access low cost finance.
 - For family owned firms, reputational considerations & protection of inter-generational wealth ([Wang, 2006](#)).
- **Costs: Entrenchment Hypothesis**
 - Expropriation incentives with increased control.
 - OEM to camouflage expropriation by controlling insiders.
 - Control on generation and reporting of accounting information ([Fan and Wong, 2002](#)).
- Potential non-linear effect

Background Literature – II: Benefits and Costs : Effect of Group Affiliation



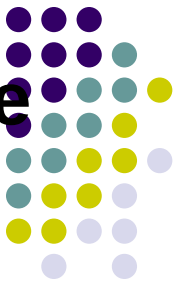
- **Additional benefits**

- Reputational effects stronger due to interlinkages - negative spillovers on affiliates of adverse effects of EM (Gopalan et al., 2007).
- Group reputation important in emerging economies

- **Additional costs**

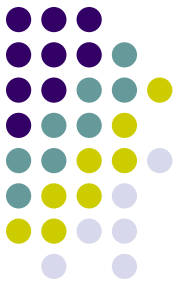
- Stronger entrenchment effect as internal markets, pyramidal structures and RPTs facilitate OEM across affiliates (Kim and Yi, 2005).

Background Literature – III : Empirical Evidence



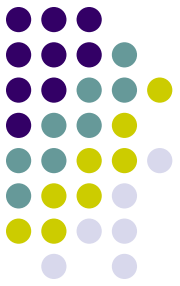
- Most studies w.r.t. US family firms
- Dominant finding: family ownership - lower OEM
- Adverse effect of group affiliation (Kim and Yi, 2005; Siregar and Utama, 2008).
- Evidence of non-linear relationship:
 - U-shaped relationship between founding family ownership and discretionary accruals: entrenchment effects sets in beyond 33 per cent (Wang, 2006: US).
 - Inverted U with alignment effect beyond 55 per cent ownership of top shareholders (Ding et al., 2007: China).
 - No evidence on effect of group affiliation.

Indian Case Study: Key Questions

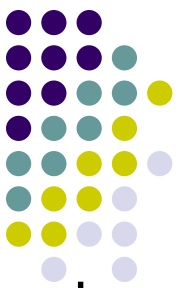


- Effect of insider control on OEM
 - Non-linear effect ?
 - Group effect ?
- Effect of ownership opacity on OEM:
 - Incomplete information on insider ownership (extent of information in the public domain on who owns how much)
 - Fragmentation of insider ownership (distribution of insider holdings among constituents)
 - Hypothesis: Incomplete information and fragmentation creates 'opacity' of insider control in business groups and facilitates EM

Sample



- Sample drawn from the Prowess database.
- Domestic private sector companies listed on the Bombay Stock Exchange : 2002-2006.
- Final sample : unbalanced panel of 1658 distinct companies with 5888 firm-year observations.
 - Group affiliated and stand alone companies
 - Group affiliated companies : 2881 observations (48.93 percent)



Dependent Variable :OEM

- Accrual based accounting (ABA) reports **income when earned** and **expenses when incurred**, in contrast to cash based accounting which **reports income when received** and **expenses when paid**.
- Under ABA, *discretion* in recognising income (receivables) and expenditure (payables) within given accounting rules.
- Total Accruals (TA) - two components:
 - Non-discretionary : reflects business conditions.
 - Discretionary : management choices on income and expenditure recognition.
- Isolating discretionary accrual (DA) from TA : good proxy for earnings quality.
- OEM measured in terms of DA.

Dependent Variable: Measuring DA



- DA is the residual from a regression of total accruals on accounting fundamentals.
- Different methods of estimating DA (Jones, 1991; Francis et al. (2005).
- Use the Francis (2005) measure : an encompassing model of DA

$$DA = TCA_{it} / A_{i,t-1} - [\hat{\alpha}_1(1/A_{i,t-1}) + \hat{\alpha}_2(\Delta REV_{it}) / A_{i,t-1} + \hat{\alpha}_3(PPE_{it}) / A_{i,t-1} + \hat{\alpha}_4(CFO_{it-1}) / A_{i,t-1} + \hat{\alpha}_5(CFO_{it}) / A_{i,t-1} + \hat{\alpha}_6(CFO_{it+1}) / A_{i,t-1}]$$

TCA_{it} is the total current accruals in year t

ΔREV_{it} is the change in revenues

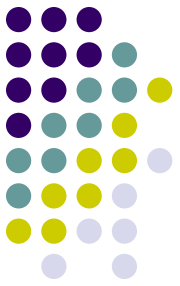
CFO_{it} CFO_{it+1} are the cash flows from operations in the years $(t-1)$, t and $(t+1)$

PPE_{it} is the change in property, plant and equipment

$A_{i,t-1}$ is total assets

- Examine both unsigned (absolute) as well as signed DA
 - unsigned DA captures income smoothing
 - signed DA represents earnings overstatement/understatement efforts

Variables of Interest



- Equity ownership by controlling insiders
- Group affiliation
- Ownership opacity

Variables of Interest: Insider Control



- Direct and indirect equity ownership of controlling owners disclosed as “promoter holdings” under Clause 35 of listing agreement.
- A promoter is defined from a “control” perspective :
 - the “right to appoint the majority of the directors and/or
 - to control the management or policy decisions
- Indirect ownership: Equity ownership by “persons acting in concert” (PACs)
- Total Insider (Promoter) Control :
**PROM_CONTROL = Direct holdings by promoters
+ holdings by PACs.**

Variables of Interest: Group Affiliation



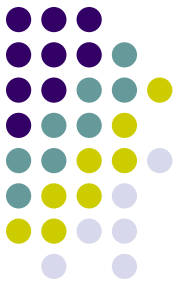
- Business Groups in India : Mostly family owned.
- Prowess identifies in 2006, 2,922 firms affiliated with a total of 560 Indian owned business groups.
 - Affiliation of firms to any group in Prowess identified on the basis of a group (typically a family) having either management control or substantial equity holding in the affiliate.
- Group affiliation denoted by dummy variable GROUP;
 - **GROUP =1 if a firm is affiliated to a business group; GROUP = 0 otherwise.**

Variables of Interest: Ownership Opacity



- **Opacity I** : Absence of information on equity stakes of all insiders) (Clause 35)
- **Opacity II**: Fragmentation of insider holdings across a large number of constituents
- **OPAQUE_1 = $(Z1 - Z2)/Z1$**
 - Z1 : Total Insider Ownership of all promoters
 - Z2 : Total Insider Ownership of all promoters $\geq 1\%$.
- **OPAQUE_2 = $(Y1 - Y2)/Y1$**
 - Y1: Total number of distinct holdings by promoters $\geq 1\%$
 - Y2 : Total number of distinct holdings by promoters $\geq 5\%$ [Example](#)
- **OPAQUE_1 $\Leftrightarrow$ OPAQUE_2**

Control Variables



- **Firm Level Attributes** (Warfield et al., 1995; Ali et al., 2007):
 - Leverage (LEVERAGE),
 - price to book ratio (PB)
 - firm size (SIZE)
 - systematic risk of equity (BETA)
 - cash flow from operations (CFO)
 - lagged total current accruals (L1ACCR)
 - return on assets of current year (ROA) and past years (PROA),
 - variance in quarterly earnings (VAREPS),
 - the absolute level of return on assets (ABS_ROA) and its growth (ABS_ROA_GR).
 - Two ownership measures relevant to the emerging markets, percentage of equity ownership by foreign institutional investors (FII_SHR) and banks and financial institutions (BANKS_FI_SHR).
- **Regulatory Environment:**
 - dummy variable POST CG49 which takes the value 1 from the year the particular firm adopted the Clause 49 regulations.
- Industry dummies and year dummies to control for unobserved industry and time specific effects.

Empirical Models



- Effect of Insider Control on DA

- $DA = int + f_1 PROM_CONTROL + f_2 PROM_CONTROL^2 + control\ variables + industry\ effects + time\ effects + error$
 $f_1 < 0$ and $f_2 > 0$ --- U-shaped relationship.

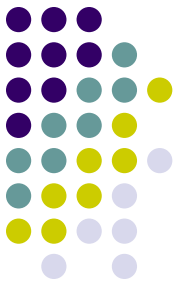
- Effect of Business Group Affiliation

- $DA = int + g_1 PROM_CONTROL + g_2 PROM_CONTROL^2 + g_3 GROUP + control\ variables + industry\ effects + time\ effects + error$

- Effect of Ownership Opacity

- $DA = int + h_i OPAQUE_i + k_1 PROM_CONTROL + k_2 PROM_CONTROL^2 + control\ variables + industry\ effects + time\ effects + error$

Summary Statistics



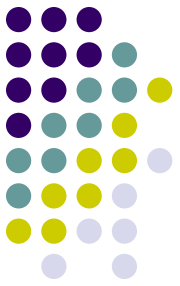
- **Sample means by ownership groups** [Table 5.1](#)
 - Absolute DA is around 8 percent of total assets.
 - No statistically significant differences between group and non-group firms in both absolute and signed DA.
 - Insider control higher in group affiliates compared to standalones (significant at 5 per cent).
 - Significant difference in most firm level characteristics between group and standalones.
- **Distribution of firms by different cut-offs of insider control** [Table 5.2](#)
 - Pervasiveness of insider control in listed firms
 - At 20 percent cut-off (effective control): 94% observations
 - At 26% cut-off (block special resolutions): 90 % observations
 - At 51% (majority control): 47% sample observations

Regression Results - I



- **Benchmark model** [Table 6.1](#)
 - Estimates are consistent with earlier studies and confirm the validity of the benchmark model in the Indian setting.
- **Effect of insider control** [Table 6.2](#)
 - PROM_CONTROL has non-linear (U) effect on income smoothing (absolute DA).
 - Turning point: PROM_CONTROL = 50 percent
 - No support for linear relationship (Wang,2006)
- **No non-linear effect on signed (positive & negative) DAs.**

Regression Results – II : Group Effect



- **Full sample**

- Group firms : more income smoothing practices. [Table 6.3](#)
- No effect on signed DA.

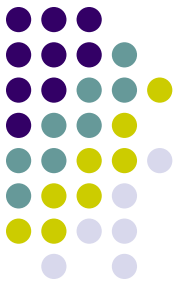
- **By Sub-Samples: Effect of PROM_CONTROL**

- Group firms: U-shaped, turning point 53.24 per cent. [Table 7.1](#)
- Standalones: U-shaped; turning point at 50.5 per cent. [Table 7.2](#)
[Figure](#)

- **By PROM_CONTROL thresholds [Table 8](#)**

- 20 & 26% thresholds, positive GROUP effect for HIGH firms.
- 51% threshold, positive GROUP effect: both LOW and HIGH.
- Group affiliation imposes additional costs when promoter has a minimum threshold of control.

Regression Results- III : Effect of Ownership Opacity



- **Full Sample** [Table 9.2](#)

- No effect of either OPAQUE_1 & OPAQUE_2
- U-shaped preserved under OPAQUE_1;
- linear negative relationship under OPAQUE_2.

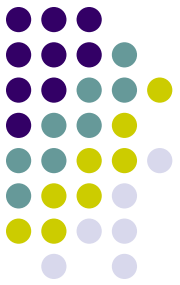
- **By sub-samples of group affiliates and standalones**
[Table 9.3](#)

- OPAQUE_1 has adverse effect on abs DA for group firms.
- No effect for standalones.
- No effect of OPAQUE_2 in both group affiliated and standalones.

- **By PROM_CONTROL thresholds (group firms)**

- OPAQUE_1 increases absolute DA between 26% and 51%. [Table 10](#)
- OPAQUE_2 increases DA once PROM_CONTROL > 51%.

Concluding Observations - I

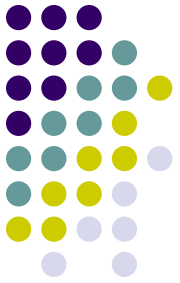


- Analysis adds to sparse evidence with respect to emerging economies characterised by pervasive insider control.
- Three important aspects of insider dominance considered.
- Consistent and robust evidence of U-shaped relationship between insider control and OEM.
- U relationship largely driven by group-affiliated firms.
- Relationship depends on levels of insider control.
- Result similar to Wang (2006) for US founding family firms.
- Possible explanation: Greater similarity of India and US with respect to legal framework and corporate governance regulations and sample firms predominantly being family firms.

Concluding Observations - II

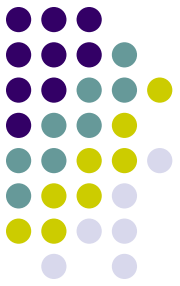


- Group affiliation increases earnings opportunism of insiders.
- Negative group effect depends on the level of insider control.
- Evidence with respect to effect of opacity of insider control on EM.
- Type of opacity matters w.r.t effect on earnings management.
- Effect of opacity depends on control thresholds; relevant for intermediate to high levels of promoter control.



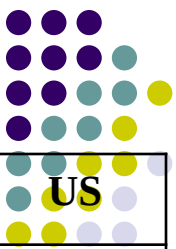
Thank You

Highlights of the Satyam Case



- On January 7, 2009, Ramalinga Raju, the Chairman and controlling owner of Satyam publicly declared that Satyam's accounts have been manipulated and inflated for several years [with his explicit involvement](#) and without the knowledge of the board of directors.
- Satyam's balance sheet as of September 30, 2008 contained
 - inflated figures for cash and bank balances of INR 5,040 crore,
 - had an accrued interest of INR 376 crore that did not exist,
 - an understated liability of INR 1,230 crore and an overstated debtor's position of INR 490 crore.
- Earnings manipulation happened during a period
 - of a steady increase in Satyam's market valuation
 - of Satyam receiving the Golden Peacock Global Award for Excellence in Corporate Governance
 - of regulatory reforms to improve the integrity of financial statements. [Motivation](#)

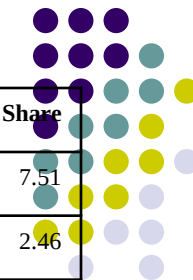
Table 1: Ownership and Control Characteristics, Earnings Management, Shareholder Protection and Select Institutional Indicators: India and the US



	India	US
I. Percentage of widely held firms (top 20 listed firms)	10	80
II. Percentage of family controlled firms (top 20 listed firms)	90	20
III. Mean ownership concentration	43	12
IV. Characteristics of Family Business Groups		
(i) Percentage of group affiliated firms controlled through pyramids	10.02	0.90
(ii) Percentage of market capitalization held by group controlled firms	20.89	3.04
(iii) Percentage of market capitalization held by pyramid controlled firms	4.10	0.69
(iv) Pyramid Layer	0.36	0.31
V. Aggregate Earnings Management Score	19.1	2.0
VI. Shareholder Protection		
(i) Oppressed minority mechanism	1	1
(ii) Antidirector Rights of Minority Shareholders ^a (scale of 6)	5	5
VII. Institutional Indicators		
(i) Efficiency of Judicial System	8	10
(ii) Rule of Law	4.17	10
(iii) Auditor's per 100,000	9	168
(iv) Disclosure Level	61	85
(v) Opacity in Accounting	79	25
(vi) Accounting Standard	57	71

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Computation of Opacity Measures (Year 2004)



Name of Affiliate	Type of Insider	Identity of Insider	Percentage Share
Reliance Industries Ltd.	Indian Promoters	Petroleum Trust	7.51
Reliance Industries Ltd.	Persons Acting In Concert	Sanchayita Mercantile Pvt Ltd	2.46
Reliance Industries Ltd.	Persons Acting In Concert	Reliance Enterprises Pvt Ltd	2.26
Reliance Industries Ltd.	Persons Acting In Concert	Florentine Trading Pvt Ltd	1.87
Reliance Industries Ltd.	Persons Acting In Concert	Velocity Trading Pvt Ltd	1.77
Reliance Industries Ltd.	Persons Acting In Concert	Madhuban Merchandise Pvt Ltd	1.75
Reliance Industries Ltd.	Persons Acting In Concert	Ornate Traders Pvt Ltd	1.4
Reliance Industries Ltd.	Persons Acting In Concert	Reliance Polyolefins Pvt Ltd	1.37
Reliance Industries Ltd.	Persons Acting In Concert	Tresta Trading Pvt Ltd	1.19
Reliance Industries Ltd.	Persons Acting In Concert	Reliance Capital Ltd	1.18
Reliance Industries Ltd.	Persons Acting In Concert	Amur Trading Pvt Ltd	1.18
Reliance Industries Ltd.	Persons Acting In Concert	Yangste Trading Pvt Ltd	1.16
Reliance Industries Ltd.	Persons Acting In Concert	Reliance Energy & Project Development Pvt Ltd	1.15
Reliance Industries Ltd.	Persons Acting In Concert	Reliance Aromatics & Petrochemicals Pvt Ltd	1.15
Reliance Industries Ltd.	Persons Acting In Concert	Reliance Chemicals Pvt Ltd	1.05
Reliance Industries Ltd	Total Insider Ownership : Aggregate Ownership Data (Z1) Total Insider Ownership : One Percent Data (Z2) OPAQUE_1 = (Z1– Z2)/Z1 Total number of separate holdings by promoters of 1 percent or more (Y1) Total number of separate holdings by promoters of 5 percent or more (Y2) OPAQUE_2 = (Y1 – Y2)/Y1		46.76 28.45 0.39 15 1 0.93

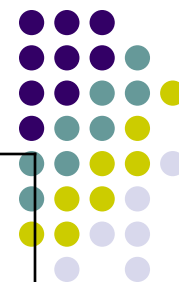
Table 5.1: Summary Statistics

	All Firms		By Ownership group			
Variable	N	Mean	Standalones	Group Affiliated		t-diff
abs_DA_Francis	5525	0.0835	0.0833	0.0837		0.16
res_Francis_TA	5525	0.002	0.0042	-0.0001		-1.24
pos_DA_Francis	2977	0.0794	0.0791	0.0796		0.15
neg_DA_Francis	2548	-0.0883	-0.0884	-0.0882		0.05
prom_control	5888	0.4911	0.48	0.5027		4.78
fii_shr	5888	0.0158	0.0061	0.0259		15.36
banks_fi_shr	5888	0.0367	0.0169	0.0574		25.46
size	5888	18.7956	17.9056	19.7245		38.84
nsize	5888	0.0446	-0.0874	0.1823		44.39
leverage	5888	0.3212	0.2834	0.3607		12.3
vareps	5888	0.4089	0.2058	0.6208		12.07
pb	5888	1.0676	0.911	1.2311		1.56
beta	5888	1.0169	0.9758	1.0598		5.2
cfo_ta	5783	0.0573	0.049	0.0658		4.65
l1caccr_ta	5778	0.0054	0.0115	-0.0007		-3.45
roa	5888	0.1302	0.1241	0.1365		3.74
proa	5888	0.0238	0.0225	0.0251		1.23
abs_roa	5888	0.1449	0.1429	0.1469		1.41
abs_roa_gr	5888	0.6996	0.776	0.6199		-5.26

Note: Number of standalone firm observations: 3007; Number of group-affiliate firm observations: 2881

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Table 5.2: Distribution of Firm Year Observations by Insider Control Thresholds: 2001-06

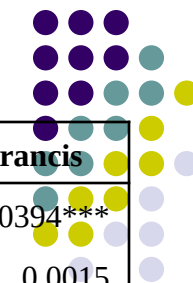


Insider Control Thresholds (%)	Percentage of Observations by Year					Percentage of All Firm-Year Observations
	2002	2003	2004	2005	2006	
	2002	2003	2004	2005	2006	2002-06
>= 5	99.85 (909)	98.45 (1083)	98.32 (1172)	98.23 (1227)	98.46 (1403)	98.40 (5794)
>= 20	95.01 (876)	94.54 (1040)	94.21 (1123)	93.75 (1171)	93.68 (1335)	94.17 (5545)
>= 26	88.39 (815)	89.90 (989)	90.43 (1078)	89.83 (1122)	89.61 (1277)	89.69 (5281)
>= 51	45.01 (415)	47.81 (526)	48.15 (574)	47.31 (591)	47.15 (672)	47.18 (2778)
>=75	5.53 (51)	5.36 (59)	5.12 (61)	5.36 (67)	5.33 (76)	5.33 (314)
Total Number of Observations	922	1100	1192	1249	1425	5888

Note: Figures in brackets represent the number of observations

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Table 6.1: Benchmark Model of Discretionary Accruals



Variable	abs_DA_ Francis	res_Francis_ TA	pos_DA_ Francis	neg_DA_Francis
Intercept	0.0561***	0.0042	0.0317***	-0.0394***
post_cg	490.0065	0.0012	0.006	0.0015
fii_shr	0.0236	-0.0048	-0.0103	0.0482
banks_fi_shr	-0.0694***	0.0463***	-0.0171	0.072***
leverage	0.0384***	-0.0318***	0.0028	-0.057***
pb	-0.0002	0.0001	0	0.0003
Nrsize	-0.0037	0.0024	0.0005	0.0094
beta	0.0018	-0.0023*	0	0.0011
cfo_ta	-0.0107	-0.7358***	-0.5330***	-0.5434***
l1caccr_ta	-0.0166	0.0227**	-0.0083	0.0192
roa	-0.2466***	0.8019***	0.5423***	0.5921***
proa	-0.1312***	0.0800***	-0.0719**	0.1352***
vareps	0.0005	-0.0005	-0.001	0.0002
abs_roa	0.3924***	-0.3622***	-0.1317*	-0.3906***
abs_roa_gr	0.0052**	0.0021	0.0063	-0.0012
Obs	5465	5465	2949	2516
Adj R-Sq	0.1276	0.5416	0.4458	0.4734
Pr > F	0	0	0	0

Note: ***, **, and * denote levels of statistical significance at the 1%, 5% and 10% level, respectively.

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Table 6.2: Effect of Promoter Control on Discretionary Accruals

Variable	abs_DA_Francis	res_Francis_TA	pos_DA_Francis	neg_DA_Francis
intercept	0.0820***	0.0029	0.0434***	-0.0517***
prom_control	-0.1303***	-0.0054	-0.0546	0.0497
prom_control_sq	0.1308***	0.0137	0.0519	-0.042
fii_shr	0.0189	0.0008	-0.0158	0.0541
banks_fi_shr	-0.0665***	0.0518***	-0.0187	0.0761***
leverage	0.0388***	-0.0319***	0.0029	-0.0581***
pb	-0.0002	0.0001	0	0.0003
nrsiz	-0.0047	0.0015	0.0006	0.0091
beta	0.0018	-0.0022	-0.0001	0.0012
cfo_ta	-0.0101	-0.7364***	-0.5315***	-0.5433 ***
l1caccr_ta	-0.0173	0.0231**	-0.0089	0.0196
roa	-0.2396***	0.8021***	0.5429***	0.5885***
Proa	-0.1325***	0.0779**	-0.0722**	0.1329***
Vareps	0.0005	-0.0005	-0.001	0.0002
abs_roa	0.3888***	-0.3627***	-0.1313*	-0.3896***
abs_roa_gr	0.0051**	0.0021	0.0062	-0.0011
post_cg49	0.0068	0.0013	0.0061	0.0014
Obs	5465	5465	2949	2516
Adj R-Sq	0.1304	0.5416	0.4461	0.4734
Pr > F	0	0	0	0

Table 6.3: Effect of Group Affiliation on Discretionary Accruals

Variable	abs_DA_ Francis	res_Francis_ TA	pos_DA_ Francis	neg_DA_ Francis
intercept	0.0806***	0.004	0.0307**	-0.0383***
prom_control	-0.1346***	-0.0054	-0.0546	0.0497
prom_control_sq	0.1329***	0.0137	0.0519	-0.042
GROUP	0.0088**	0.0006	0.0026	-0.0028
fii_shr	0.0129	-0.0051	-0.0116	0.0496
banks_fi_shr	-0.0737***	0.0458***	-0.0196	0.0750 ***
leverage	0.0374***	-0.0319***	0.0025	-0.0569***
pb	-0.0002	0.0001	0	0.0003
nrsiz	-0.0104	0.0019	-0.0016	0.0119
beta	0.0017	-0.0023*	-0.0001	0.0011
cfo_ta	-0.0109	-0.7359***	-0.5330***	-0.5427***
l1caccr_ta	-0.0169	0.0227**	-0.0083	0.0188
roa	-0.2381***	0.8020***	0.5423***	0.5911***
proa	-0.1274***	0.0804***	-0.0703*	0.1342 ***
vareps	0.0003	-0.0005	-0.001	0.0003
abs_roa	0.3915***	-0.3620***	-0.1309*	-0.3917***
abs_roa_gr	0.0052**	0.0021	0.0063	-0.0012
post_cg49	0.0051	0.0011	0.0056	0.0019
Obs	5465	5465	2949	2516
Adj R-Sq	0.1484	0.5416	0.4457	0.4733

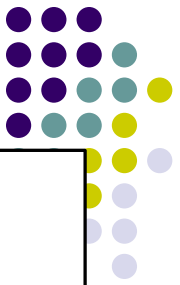
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Table 7.1: Effect of Promoter Control on Discretionary Accruals - Group Affiliated Firms

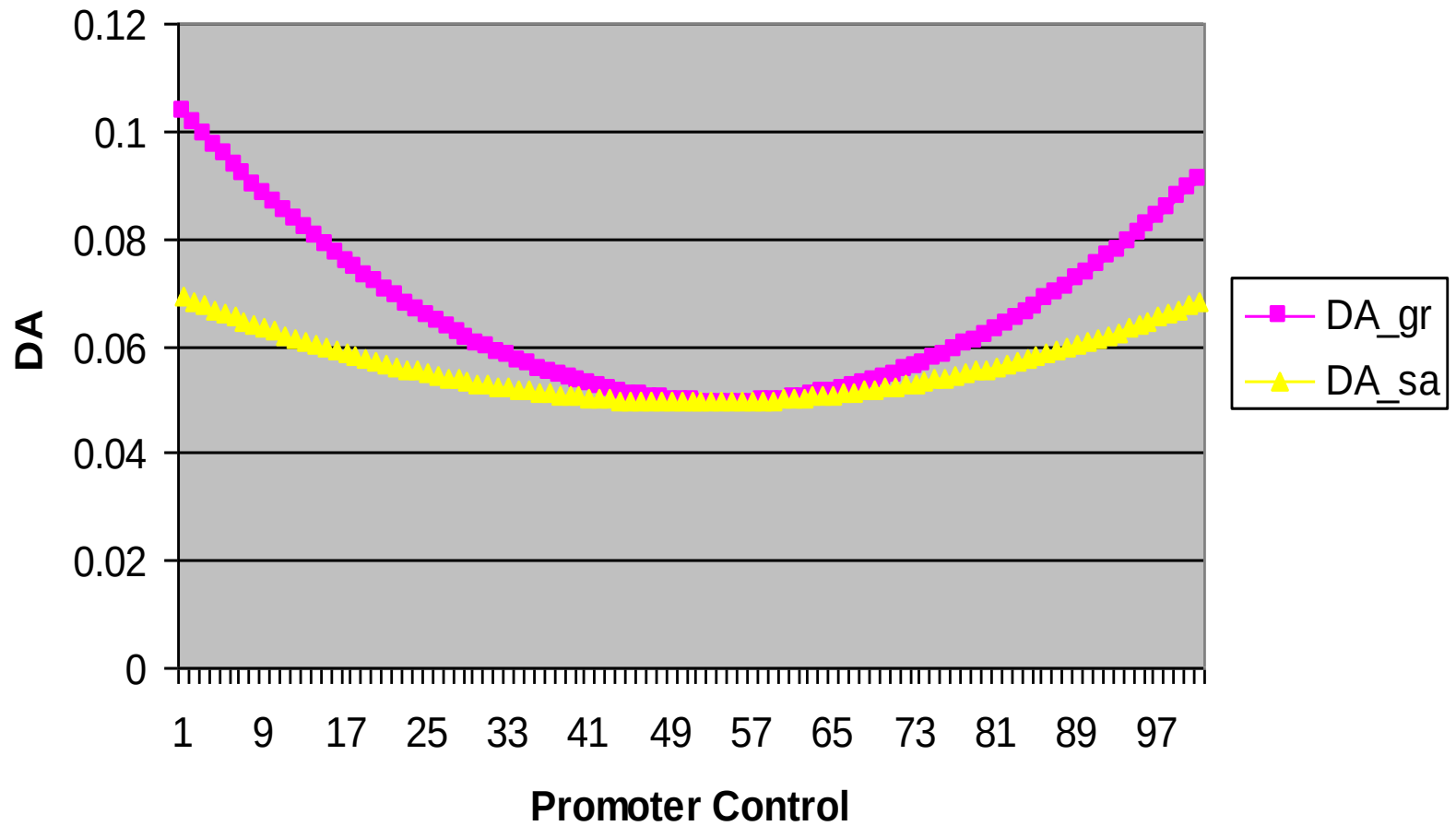
Variable	abs_DA_ Francis	res_Francis_ TA	pos_DA_ Francis	neg_DA_Francis
intercept	0.1034***	-0.0041	0.0456***	-0.0444**
prom_control	-0.2033**	-0.0271	-0.1089	0.0258
prom_control_sq	0.1909***	0.0175	0.0746	-0.0231
fii_shr	0.0212	-0.0306	-0.0222	-0.0014
banks_fi_shr	-0.0761***	0.0486**	-0.0253	0.0627**
leverage	0.0493**	-0.0273*	0.0184	-0.0582***
pb	-0.0001	0	0.0001	0.0001
nrsiz	-0.0042	-0.0077	-0.0102	-0.004
beta	0.0023	0.003	0.0021	-0.0013
cfo_ta	0.0346	-0.8312***	-0.5588***	-0.6899***
l1caccr_ta	-0.0132	0.0138	-0.0171	0.0047
roa	-0.2832**	1.0042***	0.7607***	0.7887***
proa	-0.0960**	0.1088***	0.0071	0.1365***
vareps	0.0004	-0.0015*	-0.0014	-0.0011
abs_roa	0.4211***	-0.4316***	-0.2800*	-0.4383***
abs_roa_gr	0.0069	0.0089*	0.0135	0.0023
post_cg49	0.0125*	0.0105	0.0142**	0.0053
Obs	2766	2766	1452	1314
Adj R-Sq	0.1496	0.6175	0.453	0.61
Pr > F	0	0	0	0

Table 7.2: Effect of Promoter Control on Discretionary Accruals Standalone Firms

Variable	abs_DA_ Francis	res_Francis_ TA	pos_DA_ Francis	neg_DA_ Francis
intercept	0.0690***	0.0055	0.0395***	-0.0572***
prom_control	-0.0772*	0.0129	-0.0009	0.0674
prom_control_sq	0.0764*	0.0088	0.0144	-0.0469
fii_shr	-0.0184	0.0595	-0.0076	0.2104***
banks_fi_shr	-0.0968***	0.0466	-0.0354	0.1488***
leverage	0.0221*	-0.0334***	-0.0131	-0.0517***
pb	-0.0010**	0.0004	0.0002	0.0010***
nrsiz	-0.0134	0.0099	0.0102	0.0251*
beta	0.0008	-0.0025	-0.0006	0.0073
cfo_ta	-0.0492	-0.6635***	-0.5189***	-0.4501***
l1caccr_ta	-0.02	0.0243	-0.0064	0.0252
roa	-0.2129***	0.6930***	0.4394***	0.4864***
proa	-0.1476**	0.053	-0.1243 **	0.118**
vareps	0.0012	0.0016	-0.0017	0.0021
abs_roa	0.3796***	-0.3438***	-0.0659	-0.3865***
abs_roa_gr	0.0036**	-0.0018	0.0014	-0.002
post_cg49	-0.0055	-0.0022	-0.0039	0.006
Obs	2699	2699	1497	1202
Adj R-Sq	0.144	0.4876	0.5019	0.4056
Pr > F	0	0	0	0



Relationship of PROM_CONTROL and DA



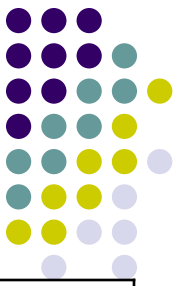
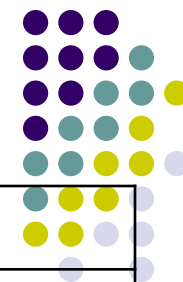


Table 8: Group Effect by Promoter Control Thresholds

	Promoter control thresholds					
	Low (<20%)	High (≥20%)	Low (<26%)	High (≥26%)	Low (<51%)	High (≥51%)
Abs_DA_Francis	0.0064	0.0059**	0.0103	0.0058*	0.0083*	0.0109***
Res_Francis_TA	-0.018	0.0001	-0.0009	0.0009	0.0048	-0.0032
Pos_DA_Francis	-0.0119	0.0016	0.0046	0.0017	0.0075	-0.0004
Neg_DA_Francis	-0.0022	-0.0028	0.0015	-0.0001	0.0001	-0.0072

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Table 9.2: Effect of Ownership Opacity on Absolute Discretionary Accruals - All Firms

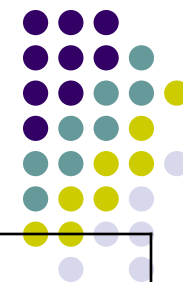


Variable	abs_DA_Francis			
	Column 1	Column 2	Column 3	Column 4
intercept	0.0574***	0.0750***	0.0905***	0.0786***
opaque_1	0.0094		0.0057	
opaque_2		0.0074		0.0066
prom_control			-0.1714***	-0.0804*
prom_control ²			0.1561**	0.0716
Obs	2736	2386	2736	2386
Adj R-Sq	0.1323	0.1409	0.0951	0.0754
Pr > F	0	0	0	0

Control variables not shown in the Table

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**Table 9.3: Effect of Ownership Opacity on Absolute Discretionary Accruals:
Group Affiliated and Standalone Firms**



Variable	abs_DA_Francis		abs_DA_Francis	
	Group affiliated	Standalones	Group affiliated	Standalones
Intercept	0.1059	0.0783	0.1196	0.0551
opaque_1	0.0164*	-0.0011		
opaque_2			0.0111	0.0034
Prom_control	-0.2286**	-0.0988	-0.1903**	-0.0179
Prom_control ²	0.1961**	0.0965	0.1634**	0.0211

Control variables not shown in the Table

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Table 10.1/10.2: Effect of Non-Disclosure (OPAQUE_1/OPAQUE_2) on Absolute Discretionary Accruals – Group Affiliated Firms



	Promoter Control Thresholds					
	Low	High	Low	High	Low	High
	(<20%)	(>=20%)	(<26%)	(>=26%)	(<51%)	(>=51%)
opaque_1	-0.1467	0.0123	0.0270	0.0110	0.0363**	-0.0035
opaque_2	----- #	0.0099	0.0304	0.0109	0.0003	0.0490**

#: not enough observations; Control variables not shown in the Table

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